

NSE:NIFTY, 1D 14281.30 ▼ -152.40 (-1.06%) O:14453.30 H:14459.15 L:14222.80 C:14281.30



TradingView

RSI enters the oversold zone i.e. less than 30, around March. There was an instant reversal at this time and the prices reverted. Combining with other indicators a profitable long signal would have been generated over here. After November, RSI entered the overbought zone i.e. more than 70. However, as expected a reversal is due but is not instant. The RSI has been in the overbought zone for a while and has not yet reverted. Any trader who shorts purely based on RSI would have made significant losses here. This is why we use other indicators to confirm entry and exit when using RSI.